

Advantech (2395 TT)

 Target price: **TWD700.00** (from TWD480.00)

 Share price (5 Aug): **TWD633.00** | Up/downside: **+10.6%**
5 4 3 **2** 1
Outperform
 (unchanged)

2Q26 results: Near-term momentum intact

- Sequential revenue growth in 3Q26, backed by secured components
- Component price hike pressure on 2H26 margins
- Reaffirming our Outperform (2) rating; raising 12-month TP to TWD700

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What's new: We provide updates after Advantech's 2Q26 results call.

What's the impact: 2Q26 results beat on pull-in demand. Advantech's 2Q26 net profit was TWD4.52bn (EPS: TWD5.2), 32% higher than our estimate (TWD3.42bn) and Bloomberg consensus (TWD3.43bn). Advantech's 2Q26 revenue of TWD26.1bn was 15% higher than our estimate (TWD22.7bn) and the company's guidance range of TWD20.5-21bn on solid industrial demand and ongoing price hikes. Per management, they have seen price hikes proliferating into diversified components such as memory and CPU, with price increases of 10-20%. This caused the 2Q26 gross margin (37.7%) to be lower than its guidance range of 38-40% and our estimate of 39.8%. However, operating margin came in stronger at 19.6% (vs. our estimate of 17.7% and street's estimate of 18.2%) due to better operating leverage despite a lower gross margin. Lastly, Advantech's book-to-bill (B/B) ratio decreased to 1.44 in 2Q26 (1Q26: 1.77; 4Q25: 1.33; 3Q25: 1.01).

Business update. Looking at 3Q26, management guides for sequential revenue growth, driven by a robust order pipeline. The 2Q26 B/B ratio of 1.44 reflects persistent pull-in demand, particularly in the semiconductor, AI infrastructure and automation segments where the AI megatrend continues to drive industry momentum. On margins, while Advantech is passing rising component costs to customers, the severe price hikes limit pass-through to c.70%, weighing on its gross margin. Although memory shortage pressures are easing, PCBs, CPUs and power ICs remain in tight supply. While component supply is secured for 3Q26, supply visibility for 4Q26 remains uncertain, posing a risk to gross margin. Accordingly, we estimate the gross margin to be c.37-38% in 2H26 but believe Advantech's operating leverage will compensate for the pressure. Edge AI revenue mix expanded to 22.5% in 1H26 from 15% in 2025, which is partly attributable to chip-level AI-embedded design upgrades across the latest generations. Management remains constructive on the edge AI growth trajectory, and we view the rising mix as a key long-term catalyst.

What we recommend: We raise our 2026-28E EPS by 32% to reflect Advantech's 2Q26 results. We reaffirm our Outperform (2) call and raise our 12M TP to TWD700 (from TWD480), based on an unchanged PER of 30x (high end of its past-3-year range of 20-37x), considering its historical up-cycle PER range of 30-37x and applied to our 1-year forward EPS. Key downside risk: slower-than-expected demand recovery.

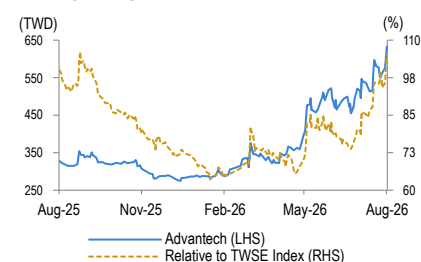
How we differ: Our 2026-28E EPS are 17-29% above consensus, likely due to our more bullish outlook on Advantech's revenue.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	22.9	30.2	28.8
Net profit change	31.3	31.3	30.5
Core EPS (FD) change	32.3	32.3	31.5

Source: Daiwa forecasts

Share price performance



12-month range	273.50-633.00
Market cap (USDbn)	16.87
3m avg daily turnover (USDm)	66.94
Shares outstanding (m)	866
Major shareholder	AsusTek Computer Inc. (14.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	108,139	125,982	135,599
Operating profit (m)	21,047	24,662	26,516
Net profit (m)	17,969	20,441	21,925
Core EPS (fully-diluted)	20.754	23.608	25.323
EPS change (%)	69.5	13.8	7.3
Daiwa vs Cons. EPS (%)	28.7	25.5	16.5
PER (x)	30.5	26.8	25.0
Dividend yield (%)	1.8	1.9	2.1
DPS	11.2	12.0	13.0
PBR (x)	10.1	8.4	7.2
EV/EBITDA (x)	24.4	20.6	18.9
ROE (%)	32.9	34.2	31.0

Source: FactSet, Daiwa forecasts

Advantech: Daiwa's revenue and earnings forecast revisions

(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	87,977	108,139	87,973	96,728	125,982	98,903	105,304	135,599	112,774
Diff (%)		22.9%	22.9%		30.2%	27.4%		28.8%	20.2%
Gross margin (%)	39.9%	38.0%	39.5%	40.6%	37.7%	39.7%	40.5%	38.8%	39.8%
Operating profit	15,898	21,047	15,963	18,448	24,662	18,931	19,987	26,516	22,218
Operating margin (%)	18.1%	19.5%	18.1%	19.1%	19.6%	19.1%	19.0%	19.6%	19.7%
Net profit	13,683	17,969	13,958	15,566	20,441	16,284	16,797	21,925	18,818
EPS (TWD)	15.69	20.75	16.12	17.85	23.61	18.81	19.26	25.32	21.73
Diff (%)		32.3%	28.7%		32.3%	25.5%		31.5%	16.5%

Source: Daiwa forecasts, Bloomberg

Advantech: quarterly and annual P&L statement

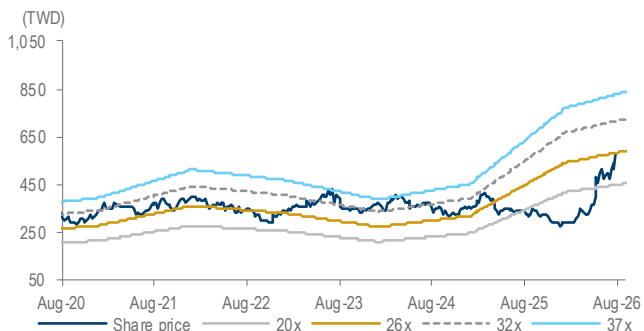
(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	20,385	26,126	30,130	31,497	29,293	31,178	33,036	32,476	70,882	108,139	125,982	135,599
COGS	-12,405	-16,281	-18,797	-19,608	-18,247	-19,463	-20,590	-20,174	-42,685	-67,091	-78,474	-82,985
Gross profit	7,980	9,845	11,333	11,890	11,045	11,715	12,446	12,302	28,198	41,048	47,508	52,614
Operating costs	-4,251	-4,718	-5,393	-5,638	-5,243	-5,550	-6,012	-6,041	-16,631	-20,001	-22,846	-26,098
Operating profit	3,728	5,127	5,940	6,252	5,802	6,165	6,433	6,262	11,567	21,047	24,662	26,516
Non-operating profit	340	463	225	193	198	209	206	202	1,123	1,221	815	817
Pre-tax profit	4,068	5,590	6,165	6,445	6,000	6,375	6,640	6,463	12,690	22,268	25,478	27,334
Income taxes	-750	-1,087	-1,233	-1,289	-1,200	-1,275	-1,328	-1,293	-2,097	-4,299	-5,037	-5,408
Net profit	3,334	4,518	4,947	5,170	4,815	5,114	5,326	5,185	10,593	17,969	20,441	21,925
EPS (TWD)	3.85	5.22	5.71	5.97	5.56	5.91	6.15	5.99	12.24	20.75	23.61	25.32
Operating Ratios												
Gross margin	39.1%	37.7%	37.6%	37.7%	37.7%	37.6%	37.7%	37.9%	39.8%	38.0%	37.7%	38.8%
Operating margin	18.3%	19.6%	19.7%	19.8%	19.8%	19.8%	19.5%	19.3%	16.3%	19.5%	19.6%	19.6%
Pre-tax margin	20.0%	21.4%	20.5%	20.5%	20.5%	20.4%	20.1%	19.9%	17.9%	20.6%	20.2%	20.2%
Net margin	16.4%	17.3%	16.4%	16.4%	16.4%	16.4%	16.1%	16.0%	14.9%	16.6%	16.2%	16.2%
YoY (%)												
Net revenue	17%	46%	70%	76%	44%	19%	10%	3%	19%	53%	16%	8%
Gross profit	14%	38%	64%	67%	38%	19%	10%	3%	16%	46%	16%	11%
Operating profit	28%	64%	119%	122%	56%	20%	8%	0%	28%	82%	17%	8%
Pre-tax profit	26%	124%	88%	75%	47%	14%	8%	0%	16%	75%	14%	7%
Net profit	22%	127%	79%	67%	44%	13%	8%	0%	18%	70%	14%	7%
QoQ (%)												
Net revenue	14%	28%	15%	5%	-7%	6%	6%	-2%				
Gross profit	12%	23%	15%	5%	-7%	6%	6%	-1%				
Operating profit	33%	38%	16%	5%	-7%	6%	4%	-3%				
Pre-tax profit	11%	37%	10%	5%	-7%	6%	4%	-3%				
Net profit	7%	36%	10%	5%	-7%	6%	4%	-3%				

Source: Company, Daiwa forecasts

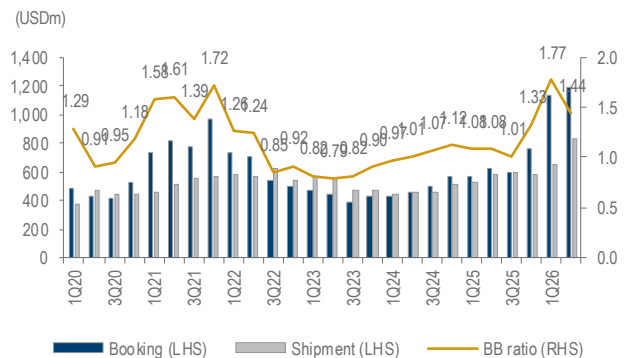
Advantech's 2Q26 results highlights

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenues	26,126	28%	46%	22,695	15%	22,145	18%
Gross profit	9,845	23%	38%	9,029	9%	8,734	13%
Gross margin (%)	37.7%			39.8%		39.4%	
Operating profit	5,127	38%	64%	4,014	28%	4,019	28%
Operating margin (%)	19.6%			17.7%		18.2%	
Pre-tax profit	5,590	37%	124%	4,253	31%	4,204	33%
Net profit	4,518	36%	127%	3,419	32%	3,430	32%
EPS (TWD)	5.22	36%	127%	3.96	32%	3.97	32%

Source: Company data, Daiwa forecasts, Bloomberg

Advantech: 1-year forward PER


Source: TEJ, Daiwa forecasts

Advantech: B/B ratio


Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Embedded Design-in sales YoY%	11.6	31.1	(0.7)	(14.2)	7.3	27.7	10.5	13.2
Industrial IoT sales YoY%	16.0	2.3	(17.4)	4.5	27.4	35.5	10.1	4.0
Service IoT sales YoY%	20.2	26.7	(6.1)	(6.7)	31.3	(25.5)	14.0	10.2

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Embedded Design-in	26,652	34,940	34,683	29,747	31,927	40,774	45,051	50,993
Industrial IoT	19,803	20,260	16,744	17,506	22,303	30,223	33,284	34,605
Other Revenue	12,168	13,544	13,141	12,533	16,652	37,142	47,647	50,001
Total Revenue	58,622	68,745	64,568	59,786	70,882	108,139	125,982	135,599
Other income	0	0	0	0	0	0	0	0
COGS	(36,490)	(42,632)	(38,406)	(35,410)	(42,685)	(67,091)	(78,474)	(82,985)
SG&A	(8,057)	(8,762)	(9,172)	(9,866)	(10,835)	(12,911)	(15,188)	(17,014)
Other op.expenses	(4,270)	(4,768)	(4,830)	(5,416)	(5,795)	(7,090)	(7,658)	(9,084)
Operating profit	9,804	12,583	12,160	9,094	11,567	21,047	24,662	26,516
Net-interest inc./(exp.)	12	16	230	294	252	230	234	235
Assoc/forex/extraord./others	229	587	377	934	870	991	581	582
Pre-tax profit	10,045	13,187	12,767	10,322	12,690	22,268	25,478	27,334
Tax	(1,948)	(2,700)	(2,477)	(2,086)	(2,189)	(4,359)	(5,096)	(5,467)
Min. int./pref. div./others	(57)	15	48	117	92	60	59	59
Net profit (reported)	8,040	10,501	10,338	8,352	10,593	17,969	20,441	21,925
Net profit (adjusted)	8,040	10,501	10,338	8,352	10,593	17,969	20,441	21,925
EPS (reported)(TWD)	10.390	13.500	12.052	9.673	12.243	20.754	23.608	25.323
EPS (adjusted)(TWD)	10.390	13.500	12.052	9.673	12.243	20.754	23.608	25.323
EPS (adjusted fully-diluted)(TWD)	10.390	13.500	12.052	9.673	12.243	20.754	23.608	25.323
DPS (TWD)	7.127	8.071	10.080	9.449	8.405	11.200	12.000	13.000
EBIT	9,804	12,583	12,160	9,094	11,567	21,047	24,662	26,516
EBITDA	10,901	13,640	13,247	10,188	12,777	22,092	25,834	27,836

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	10,045	13,187	12,767	10,322	12,690	22,268	25,478	27,334
Depreciation and amortisation	1,097	1,057	1,086	1,094	1,210	1,045	1,172	1,320
Tax paid	(1,948)	(2,700)	(2,477)	(2,086)	(2,189)	(4,359)	(5,096)	(5,467)
Change in working capital	(3,061)	(2,727)	5,006	(596)	(906)	(7,239)	(3,660)	(1,824)
Other operational CF items	4,541	915	(6,717)	1,778	(901)	(95)	(71)	(96)
Cash flow from operations	10,674	9,731	9,665	10,511	9,903	11,621	17,823	21,267
Capex	(1,036)	(1,353)	(1,236)	(1,505)	(2,837)	(2,271)	(2,646)	(2,848)
Net (acquisitions)/disposals	(354)	(55)	(1,708)	764	(1,050)	0	0	0
Other investing CF items	(2,908)	(1,703)	645	666	(342)	1	1	1
Cash flow from investing	(4,298)	(3,111)	(2,299)	(75)	(4,228)	(2,270)	(2,645)	(2,847)
Change in debt	91	401	(276)	(111)	(61)	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(5,506)	(6,236)	(7,800)	(8,158)	(7,259)	(9,690)	(10,390)	(11,256)
Other financing CF items	(148)	187	12	477	(526)	506	524	545
Cash flow from financing	(5,564)	(5,649)	(8,064)	(7,792)	(7,846)	(9,184)	(9,866)	(10,711)
Forex effect/others	(488)	886	(46)	357	(136)	0	0	0
Change in cash	324	1,857	(744)	3,000	(2,308)	167	5,312	7,709
Free cash flow	9,638	8,378	8,429	9,005	7,066	9,350	15,177	18,419

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	11,426	15,381	21,200	20,456	19,194	9,947	15,259	22,969
Inventory	12,517	14,008	9,804	10,554	11,835	17,595	20,580	21,763
Accounts receivable	10,346	11,190	9,345	10,203	10,614	15,880	18,500	19,912
Other current assets	832	1,168	1,037	986	853	853	853	853
Total current assets	35,121	41,747	41,386	42,200	42,496	44,275	55,192	65,496
Fixed assets	10,247	11,039	11,326	12,244	14,452	15,678	17,152	18,679
Goodwill & intangibles	2,665	2,789	2,750	2,814	2,735	2,735	2,735	2,735
Other non-current assets	9,795	10,809	13,594	14,484	16,036	16,197	16,378	16,561
Total assets	57,828	66,385	69,056	71,742	75,718	78,884	91,456	103,471
Short-term debt	256	531	238	0	0	0	0	0
Accounts payable	7,487	7,126	6,089	6,911	7,681	11,468	13,413	14,184
Other current liabilities	8,761	10,823	9,700	8,658	8,837	8,760	8,760	8,760
Total current liabilities	16,504	18,481	16,027	15,569	16,517	20,227	22,173	22,944
Long-term debt	0	122	0	156	150	150	150	150
Other non-current liabilities	2,962	3,499	4,220	4,219	4,001	4,001	4,001	4,001
Total liabilities	19,465	22,101	20,247	19,945	20,668	24,378	26,324	27,095
Share capital	7,738	7,778	8,578	8,634	8,652	8,658	8,658	8,658
Reserves/R.E./others	30,114	36,036	39,883	42,794	46,296	45,746	56,373	67,616
Shareholders' equity	37,853	43,815	48,461	51,428	54,947	54,404	65,031	76,274
Minority interests	510	469	348	369	102	102	102	102
Total equity & liabilities	57,828	66,385	69,056	71,742	75,718	78,884	91,456	103,471
EV	537,411	533,812	527,457	528,139	529,129	538,375	533,063	525,354
Net debt/(cash)	(11,170)	(14,728)	(20,962)	(20,300)	(19,044)	(9,797)	(15,109)	(22,818)
BVPS (TWD)	48.916	56.328	56.496	59.563	63.509	62.835	75.108	88.094

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	14.7	17.3	(6.1)	(7.4)	18.6	52.6	16.5	7.6
EBITDA (YoY)	9.1	25.1	(2.9)	(23.1)	25.4	72.9	16.9	7.8
Operating profit (YoY)	8.6	28.3	(3.4)	(25.2)	27.2	82.0	17.2	7.5
Net profit (YoY)	10.3	30.6	(1.6)	(19.2)	26.8	69.6	13.8	7.3
Core EPS (fully-diluted) (YoY)	10.0	29.9	(10.7)	(19.7)	26.6	69.5	13.8	7.3
Gross-profit margin	37.8	38.0	40.5	40.8	39.8	38.0	37.7	38.8
EBITDA margin	18.6	19.8	20.5	17.0	18.0	20.4	20.5	20.5
Operating-profit margin	16.7	18.3	18.8	15.2	16.3	19.5	19.6	19.6
Net profit margin	13.7	15.3	16.0	14.0	14.9	16.6	16.2	16.2
ROAE	22.3	25.7	22.4	16.7	19.9	32.9	34.2	31.0
ROAA	14.9	16.9	15.3	11.9	14.4	23.2	24.0	22.5
ROCE	26.6	30.1	25.9	18.0	21.6	38.3	41.1	37.4
ROIC	32.1	35.3	34.1	24.5	28.4	41.9	41.7	41.0
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	19.4	20.5	19.4	20.2	17.3	19.6	20.0	20.0
Accounts receivable (days)	59.7	57.2	58.0	59.7	53.6	44.7	49.8	51.7
Current ratio (x)	2.1	2.3	2.6	2.7	2.6	2.2	2.5	2.9
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	75.5	77.7	74.7	78.4	86.9	91.5	57.8	55.1
Free cash flow yield	1.8	1.5	1.5	1.6	1.3	1.7	2.8	3.4

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1981 and listed in 1999, Advantech is the largest industrial PC (IPC) maker worldwide in terms of embedded board/system sales, followed by the company's main competitors, Germany-based Kontron and US-based Radisys. The company mainly provides embedded computing boards, chassis, industrial computers, applied computers and design-in services. The businesses are categorised into 4 segments: Embedded design-in, Industrial IoT, Service IoT, and Global services.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	1 Advantech's current board consists of nine directors, with three independent directors. To effectively enhance corporate governance, the company's constitution specifies that its number of independent directors cannot be less than three. This regulation is even stricter than the regulations set by the government. The backgrounds of its three independent directors are diversified, with expertise in technology, finance, business, management and accounting. We see it as a positive factor for the board's quality.
	Capital management	2 For 2026, Advantech declared a DPS of TWD11.20 to be paid out of the 2025 results, representing a 92% payout ratio. The payout ratio has been quite stable in the past few years and in the range of 70-84%. According to Advantech's dividend policy, management may consider paying out an additional TWD2 stock dividend in the next three years, if the business operation has achieved the company's targets. Indeed, Advantech has executed this policy in 2014, 2017, 2020 and 2023. The IPC market growth has been stable at 5-10% per year recently. This makes Advantech eager to develop its WISW-PaaS 3.0 platform to integrate its hardware business with software. By doing so, the company believes it can lift its profit margins by creating additional value via its total solutions offerings. Besides, Advantech aims to acquire partial stakes in its competitors in order to propel the communication standardisation for the AIoT platform (eg, Wise-PaaS 3.0). We believe these investments will be long-term value-accretive to investors.
	Related party & transaction	3 Revenue from related parties was at 0.2% of total 2024 revenue, and purchases from related parties were at 0.6% of total cost of sales. We see limited risk from the related-party transactions. The main sales and purchase counterparty is ANA (one of Advantech's subsidiary) and AKMC (Advantech's China subsidiary), respectively. While Advantech is a professional assembly vendor for industrial computers with most capacity in China and sales office around the globe, it relies on its subsidiaries' manufacturing capacity to produce the components and then shipped to each sales office in different countries. This business model causes high frequency and value of transactions with related parties. As the company does not disclose enough information, we are not able to assess this concern.
S	Supply chain management	1 In 2010, Advantech established its "green supply management system". In its management system, suppliers must promise and guarantee that their products will not contain hazardous substances prohibited by Advantech. Based on the procurement procedure within the management system, Advantech conducts onsite inspections at high-risk suppliers on its Preferred Vendor List (PVL). Inspection includes the vendors' manufacturing processes, quality, environmental safety and health, labour conditions, and CSR management. Besides, Advantech strictly incorporates environmental protection principles in its supplier management mechanism. The company has incorporated the Responsible Business Alliance (RBA) management system, demanding that its suppliers promote CSR. To date, Advantech's evaluation index management for all suppliers has included critical CSR indices such as RoHS (HSF), QC080000, ISO14001, OHSAS18001 (ISO 45001), and supplier localisation regulated by the RBA. Overall, we see that Advantech has created a systematic platform to regulate and manage its supply chain to meet ethical and environmental standards.
	Data security	2 Based on Advantech's information policy, it will establish a dedicated information security organisation and appropriate management procedures to ensure confidentiality and integrity, and protect the privacy of users and customer data. The major measures include: 1) an appropriate IT backup mechanism, and 2) third-party information security certifications and regular external inspections. Advantech will implement an information security management system in accordance with the requirements of the ISO / IEC 27001: 2013 standards. Both the Linkou and Kunshan plants have acquired the ISO 27001 certification.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 4 Mar 2026

Source: Daiwa, Company

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Source: Daiwa

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